risk across a large pool of annuitants. This is another example of adverse selection, which I discussed in Chapter 2, "Insurance Is a Hedge for Human Capital," and is one of the great justifiable fears for insurance actuaries. Remember, the reason you are getting the yield above and beyond what is available in the fixed-income bond market is because the insurance company can internally subsidize longevity.

Some companies have responded to the lack of liquidity concern by offering cleverly engineered SPIAs that provide partial-liquidity, refunds, and death benefits. And although these solutions might alleviate retirees' concerns about annuitization, they come at the expense of the aforementioned longevity credits.

Second, inflation is a concern, and specifically how it impacts retirement income, a topic I tackled in Chapter 5, "Personal Inflation and the Retirement Cost of Living." Remember that most currently sold SPIA products provide nominal payments that decay in real terms over time. The purchasing power of that income may decline by more than 60% by the time you are halfway through your retirement. Of course, you can purchase inflation-linked or cost of living adjusted (COLA) life annuities, but the price you pay is greatly reduced upfront payments.

A third quite legitimate concern is credit risk—the risk that the insurance company is unable to meet its payment obligations to the annuitant sometime in the future. Right now the best-rated insurance company in the U.S. offering SPIA products has a rating of Aa1 according to Moody's Investor Services, while the lowest in our sample was rated A1. While these ratings are at the upper-end of Moody's scale, many buyers are concerned about the possibility of downgrades and eventual defaults over long horizons. The reassurance that is offered to these buyers is that insurance company defaults are rare and that state guaranteed funds do exist to protect policyholders up to a limit. However one easy solution would be to diversify across companies and, hence, reduce some risk that way.

In sum, immediate annuities provide a very unique and peculiar kind of insurance. It is virtually the only insurance policy that people acquire during the course of their life but actually hope to use! While we are all willing to pay for home insurance, disability insurance, or car insurance, we never actually want to exercise or use the policy.